

Protecting (sic) our data

THIS BEING THAT ONE CRAZY ISSUE that we bring out every year, I've decided to do a Raaabo and write my entire column upside down. So you'll have to bear with me on this one as the topic of my column still remains a serious one.

Data Localization is a term that you'll be coming across frequently in the months to come. The Indian Government set up a committee to make recommendations for the cloud services operating in the country. Earlier this month, the very policy panel put forth its recommendations for India's data policy and one of the key points in that framework is that the Indian Government mandate a data localisation policy for India. Data Localisation requires that companies which collect data from our citizens will have to store them in data centres within the country. This data could be anything from medical information, financial information, telecommunications data to even the metadata collected by the big advertising giants that currently rule the Internet.

We aren't the first country to consider data localisation laws. Several countries such as Germany, South Korea, Venezuela, Australia and even the United States have some form of data localisation laws in place. Germany is especially strict with its data laws requiring companies that want to transfer citizen data to ensure privacy is maintained even after the transfer. Localisation is very much understandable. Governments want to ensure that citizen privacy is maintained along with other motives which include but are not limited to security and law enforcement getting easy access to the same information without having to take an international conglomerate to court. One key motivation for data localisation is to prevent surveillance of said data by foreign entities. However, things are rarely as simple as they seem.

Data is the new oxygen and every tech company on the surface of the planet is vying to collect as much of it as they can. In the end, whomsoever holds the most data has the most clout and countries such as the US and China which have a lot of technology companies will grow more powerful. So one of the

ways to stem this technological inequality is to mandate a data localisation policy and tech companies don't like it. Not one bit. One of the primary reasons is that the data is used to build newer and better products so if the data is unusable because of a localisation policy, then they have to reinvent the same product in each market. Also, the pace of product development is staggered because their reduced data set makes training AI components of products slower. Another pain point for the companies is the additional infrastructure expenditure that they incur. India being a country that's undergoing rapid digitisation has resulted in an overabundance of data and all that data needs to go somewhere. If a data localisation policy is put in place, then the tech companies have to take a call whether to set up many data centres to capture all data or just a few and capture the most valuable data. Either way, they don't like it one bit.

Personally, I'm all for data localisation. The cloud service providers will have to spend a lot in our country to comply with the regulations leading to more jobs being generated. Also, with regional data being geofenced, products built for other markets will not work as intended here. Thus, requiring that India-specific products be made and that means more jobs. It would be illogical to assume that all these new jobs will be created here but you can be certain that a significant portion will be. As the laws around data collection and storage become even more complex, the companies providing data localisation services have even more to gain. In the end, we get better applications and services that were built specifically for the Indian market, our country gains leverage by not losing data to foreign entities, more jobs will be created within the country and the companies that are cribbing about data localisation get to build a new business vertical. I see a win-win with data localisation, what about you? 



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